

SPECIAL CIRCUMSTANCES PROTOCOL v1.5

1. Recent Inheritance

- Assess emotional state of client
- Review terms of inheritance
- Consider tax implications
- Develop a phased investment approach

Checklist:

- ☐ Obtain copy of will or trust documents
- ☐ Assess immediate cash needs
- ☐ Discuss any restrictions on inherited assets
- ☐ Create plan for debt repayment (if applicable)
- ☐ Develop strategy for integrating windfall into existing financial plan

2. Divorce

- Review divorce settlement
- Reassess risk tolerance and financial goals
- Consider tax implications of asset division
- Update beneficiary designations

Checklist:

- ☐ Obtain copy of divorce decree
- ☐ Update personal information in all accounts
- ☐ Revise budget based on new financial situation
- ☐ Evaluate need for new insurance policies

3. Bankruptcy

- Review bankruptcy terms and restrictions
- Focus on rebuilding credit and emergency savings
- Consider secured credit cards or small loans for credit rebuilding
- Develop a conservative investment strategy

Checklist:

- ☐ Obtain copy of bankruptcy discharge papers
- ☐ Create a strict budget for living within means
- ☐ Set up automatic savings plan
- ☐ Monitor credit report regularly

4. Sudden Wealth (e.g., lottery win, large bonus)

- Encourage client to avoid immediate large purchases

- Develop a comprehensive financial plan
- Consider tax-efficient investment strategies
- Discuss philanthropy and estate planning

Checklist:

- ☐ Assemble team of advisors (financial planner, tax professional, attorney)
- ☐ Create a "decision-free zone" for major financial choices
- ☐ Develop a long-term investment strategy
- ☐ Consider setting up a trust or foundation for charitable giving

5. Major Life Transitions (e.g., career change, relocation)

- Reassess short-term and long-term financial goals
- Review insurance needs
- Consider impact on retirement planning
- Adjust investment strategy to align with new circumstances

Checklist:

- ☐ Update budget for new income/expenses
- ☐ Review and adjust emergency fund
- ☐ Evaluate new employer benefits package
- ☐ Consider geographic-specific investment opportunities

6. Health Crisis

- Review health insurance coverage and options
- Assess impact on long-term financial goals
- Consider disability insurance needs
- Evaluate need for long-term care planning

Checklist:

- ☐ Review all insurance policies
- ☐ Assess potential out-of-pocket healthcare costs
- ☐ Consider setting up a Health Savings Account (HSA)
- ☐ Review or create advance healthcare directives

7. Starting a Business

- Develop a business financial plan
- Consider impact on personal finances
- Review insurance needs (liability, business interruption)
- Discuss retirement plan options for self-employed

Checklist:

- ☐ Separate personal and business finances

- [] Set up proper business structure (LLC, S-Corp, etc.)
- [] Develop contingency plans for various business scenarios
- [] Consider SEP IRA or Solo 401(k) for retirement savings

8. Receiving Legal Settlements

- Assess tax implications of the settlement
- Consider structured settlement options
- Develop a plan for prudent use of funds
- Evaluate need for asset protection strategies

Checklist:

- [] Consult with tax professional on settlement taxation
- [] Consider setting up a special needs trust if applicable
- [] Develop a long-term investment strategy for settlement funds
- [] Review and update estate plan

Documentation Requirements:

- Detailed notes on client's special circumstance
- Written acknowledgment of revised financial plan
- Signed client agreement on new investment strategy
- Regular follow-up schedule to reassess and adjust plans as needed

Interdisciplinary Collaboration:

- Identify situations requiring collaboration with other professionals
- Maintain a network of trusted attorneys, tax professionals, and therapists
- Clearly define roles and responsibilities in collaborative efforts
- Ensure client consent for information sharing between professionals

Follow-up and Reassessment:

- Schedule 3-month, 6-month, and 1-year follow-up meetings
- Conduct annual comprehensive review of client's situation
- Adjust strategies based on changing circumstances or goals
- Document all follow-up meetings and decisions made